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Client Alert

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Vietnam: From Bank-Led Financing to Capital Markets

Decision No. 1413/QD-TTg dated 27 July 2026 signals reforms across capital markets, banking, and digital assets

In this issue

In brief

On 27 July 2026, the Prime Minister issued Decision No. 1413/QD-TTg ("**Decision No. 1413**"), setting out Vietnam's roadmap for financial market reform through 2045. Rather than introducing immediate legislative changes, the Decision outlines a broad reform agenda to be implemented over time across capital markets, banking, digital assets and financial infrastructure.

The reforms aim to support Vietnam's long-term growth while reducing the economy's reliance on bank credit. Key priorities include deepening capital markets, attracting long-term investment, modernizing market infrastructure and expanding available financing instruments. Taken together, Decision No. 1413 represents one of Vietnam's most significant financial-sector reform initiatives in recent years, signaling a gradual shift toward a more diversified and balanced financing ecosystem.

Key takeaways

Key highlights of Decision No. 1413 are as follows

- Capital markets are expected to play a much larger role in financing the economy: The Government wants to develop the capital market into a major source of medium- and long-term funding and reduce dependence on bank lending, signalling further opportunities for issuers, underwriters, sponsors and institutional investors as Vietnam seeks to diversify long-term funding sources.
- Digital assets move closer to a regulatory framework: The Government plans to develop a legal framework for digital assets, including a possible standalone Law on Digital Assets and a phased approach beginning with sandbox programs and pilot initiatives, although implementation will likely be phased and dependent on future legislation and regulatory guidance.
- The corporate bond market remains a priority: Planned reforms include broader use of credit ratings, bond risk classification and new bond products, particularly for infrastructure and ESG-related projects, reflecting the Government's continued efforts to rebuild confidence, strengthen investor protection and expand non-bank funding channels.
- Foreign investors may see easier market access: The roadmap includes reviewing foreign ownership and market access restrictions, simplifying account-opening and foreign exchange procedures, accelerating IFRS adoption and continuing efforts to upgrade Vietnam's stock market under international index standards. It also contemplates the gradual listing and trading of shares of public companies that are foreign-invested enterprises (FDI enterprises) on Vietnam's stock exchanges, potentially expanding opportunities for foreign-invested issuers to access Vietnam's public equity markets.
- Major market infrastructure upgrades are planned: These include a central counterparty (CCP) clearing model for the stock market, securities lending and borrowing, controlled short selling, intraday trading and other trading enhancements.

In depth

Capital markets expected to play a larger role

One of the central objectives of Decision No. 1413 is to strengthen the role of capital markets as a source of long-term funding for businesses and the broader economy. The Government aims to reduce reliance on bank credit and increase capital raising through public offerings of shares and bonds.

Key targets include:

- Maintaining Vietnam's FTSE Russell market classification and meeting the criteria for further upgrades under global index providers
- Average annual capital raising of approximately VND 2 quadrillion through the capital market during 2026-2030
- Total capital raised by businesses through the stock market of VND 5.4 quadrillion during 2026-2030
- Increasing stock market capitalization to 120% of GDP by 2045
- Expanding the bond market to 60% of GDP by 2045.

The roadmap also calls for amendments to the Law on Securities, with a draft amendment scheduled for October 2026. The review is expected to cover new products and services, market supervision and broader market development initiatives.

These initiatives suggest that the Government views the capital market as a critical component of Vietnam's next phase of economic development. If successfully implemented, the reforms could create additional financing options for corporates while expanding opportunities for institutional and foreign investors seeking long-term exposure to Vietnam's growth story.

Digital assets move closer to a regulatory framework

One of the most notable proposals is the development of a dedicated framework for digital assets.

The Government plans to study a standalone Law on Digital Assets and develop a legal framework that would classify digital assets into three broad groups:

- Payment-related crypto assets
- Utility tokens
- Security tokens/tokenized real-world assets (RWA).

The roadmap also includes:

- Sandbox programs for fintech and securities-related innovation
- Tokenized securities and tokenized real-world assets
- Digital bonds and digital investment funds
- Custody and settlement services based on distributed ledger technology (DLT).

Taken together, these proposals suggest that Vietnam is moving towards a clearer regulatory framework for digital assets, although implementation will be gradual and subject to future legislation and pilot programs.

While many details remain uncertain, the inclusion of tokenized securities, tokenized real-world assets and digital investment products within the roadmap demonstrates an increasingly sophisticated regulatory approach that extends beyond cryptocurrencies and contemplates broader digitalisation of financial markets.

Development of the corporate bond market

The Government intends to continue strengthening the corporate bond market following several years of regulatory reform.

Key proposals include:

- Credit ratings for bonds offered to the public
- Mandatory credit ratings for private placements sold to individual investors
- Classification of bonds according to their risk profiles

- Development of infrastructure bonds, ESG bonds and PPP project bonds issued through project companies
- Stronger participation by institutional investors, including investment funds, insurers and pension funds.

The Government also plans to study ways to use bond markets to support project financing at the early stages of infrastructure development and to transform infrastructure assets with stable cash flows into investable financial products.

A policy framework for PPP project bonds is scheduled for October 2026.

The proposed reforms continue a broader policy trend aimed at enhancing transparency and restoring investor confidence in Vietnam's bond market. The increased use of credit ratings and risk classification mechanisms may also contribute to greater differentiation between issuers and facilitate the development of a more institutionalized investor base over time.

For issuers, a more mature bond market could provide an increasingly important alternative source of long-term funding. For investors, the reforms may improve risk assessment and product diversity, particularly in infrastructure, ESG and project-finance related sectors.

Expansion of green and sustainable finance products

Green finance is another major focus area of the roadmap.

On the equity side, the Government plans to develop a green investment segment through:

- Green shares
- Green corporate bonds
- ESG-focused investment funds
- A dedicated green stock index.

The roadmap also calls for enhancements to ESG standards and sustainable finance frameworks in the securities market.

These initiatives suggest that green and sustainable finance will become an increasingly important theme across both equity and debt markets.

The roadmap is broadly consistent with global trends towards sustainable finance and may support greater participation by international investors and development finance institutions that increasingly incorporate ESG considerations into investment decisions.

A national debt trading platform is under consideration

Another notable initiative is the proposed development of a national debt trading platform for non-performing loans and distressed assets. The platform is intended to improve transparency, facilitate transactions and promote greater participation in Vietnam's distressed-debt market.

According to the roadmap, the platform may support information disclosure relating to debt claims and collateral, electronic trading and auction mechanisms, and broader connectivity among banks, investors, asset managers and debt trading service providers.

- If successfully implemented, the initiative could contribute to more efficient price discovery and support the development of a deeper secondary market for distressed assets in Vietnam.

The roadmap also positions VAMC as a central institution in the development of Vietnam's distressed-debt market and contemplates further legal reforms relating to bad debt resolution and debt trading.

A central clearing house for securities by 2027

The Government aims to introduce a central counterparty (CCP) clearing model for the stock market by 2027.

Under the roadmap, commercial banks and foreign bank branches may be permitted to participate as CCP clearing members, subject to future regulations.

The CCP initiative forms part of a broader effort to modernize Vietnam's stock market infrastructure. Other proposed enhancements include:

- Securities lending and borrowing
- Controlled short selling

- Intraday trading
- New order types
- Upgrades to trading and settlement systems.

These reforms are intended to improve market liquidity, efficiency and alignment with international standards.

Foreign investor access and market upgrade initiatives

The roadmap includes several initiatives aimed at improving Vietnam's attractiveness to international investors.

These include:

- Reviewing foreign ownership and market access restrictions
- Simplifying account-opening procedures for foreign investors
- Streamlining foreign exchange and profit repatriation processes
- Accelerating adoption of IFRS
- Continuing market-upgrade efforts with FTSE Russell and MSCI
- Gradually implementing the listing and trading of shares of public companies that are FDI enterprises on Vietnam's stock exchanges.

These measures are expected to support foreign capital inflows and improve Vietnam's position in global investment indices.

In particular, reforms relating to foreign ownership limits, account-opening procedures, foreign exchange administration and IFRS adoption may address several practical issues that international investors have historically identified as barriers to broader participation in the Vietnamese market.

The latter proposal is particularly significant for multinational groups and foreign-invested enterprises operating in Vietnam. Although foreign-invested enterprises have historically had limited participation in Vietnam's public equity markets, the roadmap signals the Government's intention to gradually broaden access to stock exchange listing for qualifying FDI public companies. If supported by future amendments to securities, enterprise and investment regulations, the initiative could facilitate IPOs and follow-on offerings by foreign-invested issuers, expand the pool of listed companies and contribute to a deeper and more internationally representative stock market.

Why these matters

Although many of the initiatives outlined in Decision No. 1413 will require further legislation, implementing regulations and pilot programs, the roadmap provides a clear indication of the Government's long-term direction for Vietnam's financial sector.

For businesses, the reforms may expand access to long-term funding sources beyond traditional bank financing. For financial institutions, the roadmap creates opportunities across underwriting, capital markets, custody, clearing, digital asset infrastructure and sustainable finance. For investors, the initiatives may contribute to a more diversified, transparent and internationally integrated financial market over the coming decade.

Looking ahead

Decision No. 1413 is fundamentally a policy roadmap rather than a self-executing legal instrument. Many of the proposed initiatives will require substantial legislative, regulatory and operational implementation over the coming years.

Nevertheless, the roadmap provides the clearest indication to date of the Government's vision for the future development of Vietnam's financial markets. Market participants should closely monitor upcoming legislative initiatives, particularly those relating to securities law reform, corporate bond regulation, digital assets, foreign investor access and market infrastructure modernization, as these areas are likely to shape the next phase of Vietnam's financial-market evolution.

Key dates to watch

Timeline	Development
October 2026	Proposed amendments to the Law on Securities
October 2026	Framework for PPP project bonds
2027	CCP clearing framework for the stock market
2027-2028	Proposed market for innovative and start-up companies
2028-2029	• Proposed Law on Digital Assets and broader digital asset framework • Digital asset and financial sector sandbox programs
2029-2030	Central Bank Digital Currency study and possible pilot initiatives

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